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CHAPTER

7 Indian Economy

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"India will be a global player in the digital economy"

–Sunder Pichai, CEO Google

Learning Objectives

1. To understand the current status of the Indian Economy in terms of features, Natural resources, infrastructure facilities and so on.
2. To understand the contributions of major Indian Economic Thinkers.

7.1 Meaning of Growth and Development

A country's economic growth is usually measured by National Income, indicated by **Gross Domestic Product (GDP)**. The GDP is the total monetary value of the goods and services produced by that country over a specific period of time, usually one year.

The level economic development is indicated not just by GDP, but by an increase in citizens' quality of life or well-being. The quality of life is being assessed by several indices such as Human Development Index (HDI), Physical Quality of Life Index (PQLI) and Gross National Happiness Index (GNHI).

Gross National Happiness Index (GNHI)

The term "Gross National Happiness" was coined by the fourth king of Bhutan, Jigme Singye Wangchuck, in 1972. It is an indicator of progress, which measures sustainable development, environmental conservation promotion of culture and good governance.

On the basis of the level of economic development, nations are classified as developed and developing economies.